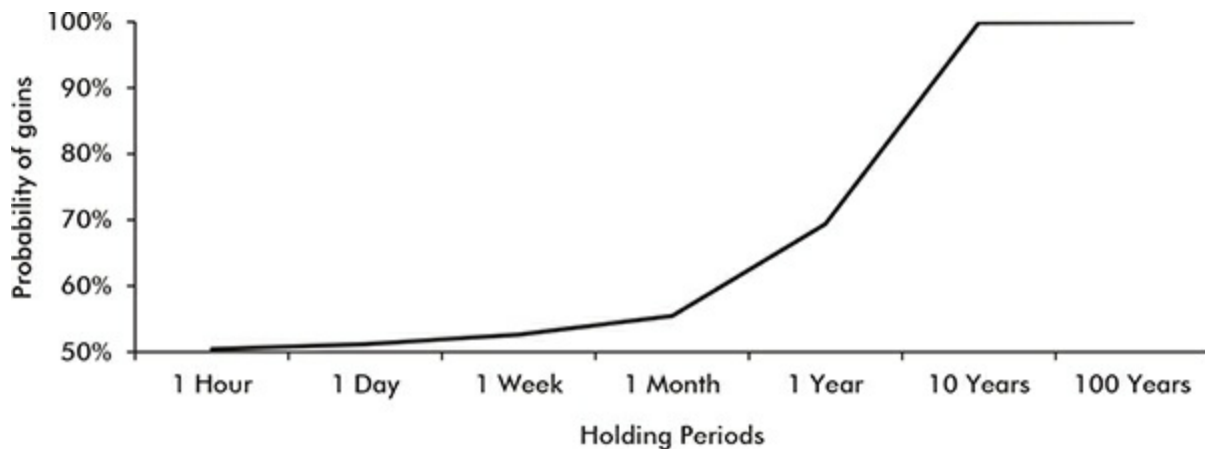


Exhibit 87: Probability of gains from equity investing in India increases disproportionately with increase in holding period (the chart here is for Sensex returns over the thirty-year period from March 1987 to March 2017)



Source: Bloomberg, Ambit Capital

Note: This chart has been inspired by similar work done by Michael Mauboussin in the American context.

2. In the long run, the portfolio becomes dominated by winning stocks whilst the losing stocks keep declining to eventually become inconsequential. Thus, the positive contribution of the winners disproportionately outweighs the negative contribution of the losers to eventually help the portfolio compound handsomely.
3. Investing and holding for the long-term is the most effective way of killing 'noise' that interferes with the investment process. As soon as you try to time entry/exit, you run the risk of 'noise' rather than fundamentals driving investment decisions.
4. Lack of churn reduces transaction costs, which adds to the overall portfolio performance over the long term. A hypothetical portfolio started on 1 July, with 50 per cent churn per annum for instance, loses almost 1.2 per cent CAGR return when run for a ten-year period.